

U.S. ECONOMY / FEDERAL RESERVE

ECONOMIC ANALYSIS REPORT

The Fed's New Problem: Weak Jobs Without Low Inflation

**Why August 2026 Presents a Harder Policy Tradeoff Than the Growth
Scare of August 2024**

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Independent research on U.S. growth, employment, inflation, monetary policy, credit and economic-cycle risk.

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1. Executive Summary

The July employment report makes the U.S. economic outlook more fragile than it appeared one week ago. The economy has not entered a broad recession, but labor-market momentum has moved close to stall speed while inflation remains above the Federal Reserve's target.

The most accurate cycle classification is now:

Late-cycle slowdown: a still-expanding economy moving toward a low-growth, high-inflation zone, but not yet in recession.

The tension is straightforward. Private domestic demand, consumer spending, AI-related capital expenditure and manufacturing activity remain resilient. Payroll growth, however, has weakened sharply. At the same time, core inflation is still above 3%, preventing the Federal Reserve from responding to weaker employment as aggressively as it could in a conventional recession scare.

This combination raises hard-landing risk without yet providing enough evidence to declare a recession. The central policy problem has changed from *growth that may be too strong for inflation to fall to employment that may be too weak for restrictive policy to remain comfortable*.

Five-Dimension Framework	Current Reading	Assessment
Growth	GDP +1.5%; private domestic demand +3.9%	Positive, but slowing
Employment	Payroll -23K; three-month average +20K	Deteriorating
Inflation	Core PCE +3.3% YoY	Still elevated
Financial conditions	Fed funds 3.50–3.75%	Restrictive
Credit	High-yield OAS near 300 bps	Stable

2. The July Employment Shock

The July employment report is the most important change in the macroeconomic picture.

Employment Indicator	Latest Reading	Assessment
Nonfarm payrolls	-23K	Very weak
Market expectation	Approximately +80K	Large miss
May revision	+129K to +63K	Negative
June revision	+57K to +20K	Negative
Combined May–June revision	-103K	Material deterioration
Three-month average payroll growth	Approximately +20K per month	Near stall speed
Unemployment rate	4.2% to 4.1%	Superficial improvement
Labor-force participation rate	61.4%	Weak
Average hourly earnings, YoY	+3.2%	Wage pressure moderating

The Bureau of Labor Statistics reported that nonfarm payrolls declined by 23,000 in July. May and June were revised down by a combined 103,000, and the participation rate fell to 61.4%, 0.7 percentage point below its January level.¹

2.1 Three-Month Payroll Momentum

After the revisions, payroll growth for May through July was:

Month	Payroll Change
May	+63K
June	+20K
July	-23K
Three-month average	+20K

¹ Employment Situation Summary — July 2026

The calculation is simple:

$$(63 + 20 - 23) / 3 = \text{approximately } +20\text{K per month}$$

Under the employment thresholds used in this framework, payroll growth above 200K is strong, 100–200K is healthy, 50–150K is consistent with a low-hire/low-fire economy, and 0–75K signals deterioration. The current reading is therefore no longer ordinary cooling; it has entered the deterioration range.

2.2 Why a Lower Unemployment Rate Is Not Reassuring

The decline in unemployment from 4.2% to 4.1% looks positive in isolation, but the underlying composition is weaker. Approximately 264,000 people left the labor force, pushing participation down to 61.4%.²

The more relevant combination is:

$$\text{Payrolls down} + \text{participation down} + \text{employment-to-population down}$$

The unemployment rate improved partly because fewer people remained in the labor force, not because hiring strengthened. That distinction matters when assessing whether household income and consumption can remain resilient.

3. Low Hiring Has Not Yet Become High Firing

Weak payroll growth alone is not enough to establish a recession. The Job Openings and Labor Turnover Survey still shows a labor market characterized by cautious hiring rather than broad layoffs.

JOLTS Indicator	June 2026
Job openings	7.4 million
Hires	5.3 million
Layoffs	1.8 million
Layoff rate	1.1%
Quits rate	2.0%

Companies are reluctant to add workers, but they have not begun large-scale workforce reductions.³ The current condition is therefore best described as:

$$\text{Low hire, but not yet high fire.}$$

A recessionary labor-market chain would normally progress as follows:

$$\text{Hiring falls, followed by rising layoffs, higher unemployment, weaker income, slower consumption, lower earnings and wider credit spreads.}$$

The economy is currently between the first and second stages. A sustained rise in layoffs and unemployment claims would materially change the conclusion.

4. Growth: Weak Headline, Resilient Private Demand

Second-quarter real GDP increased at a 1.5% annualized rate, down from 2.1% in the first quarter. That headline is consistent with low growth, but it understates the resilience of the private economy.

Growth Indicator	Latest Reading
Real GDP	+1.5% SAAR
First-quarter GDP	+2.1%

²Reuters: U.S. nonfarm payrolls unexpectedly decline in July

³Job Openings and Labor Turnover Summary — June 2026

Growth Indicator	Latest Reading
Real final sales to private domestic purchasers	+3.9%
Consumer spending	Resilient
Business investment	Resilient

Real final sales to private domestic purchasers—a measure of consumer spending and private fixed investment—increased 3.9%.⁴ This suggests that trade, inventories and government components weakened the GDP headline more than the underlying private demand picture.

The appropriate assessment is therefore:

| Headline growth is slow, but underlying private demand has not entered recession.

5. Business Activity Remains Expansionary

The divergence between business activity and employment is one of the defining features of the current cycle.

5.1 Manufacturing

The July Manufacturing PMI rose to 55.6 from 53.3 in June, close to its strongest level in more than four years. New orders, production, manufacturing employment and backlogs all improved.⁵

This is not a manufacturing recession. It is a clear expansion signal that conflicts with the weakness in aggregate payroll growth.

5.2 Services

The Services PMI stood at 54.1, while new orders reached 57.2. Demand remains healthy, but the Services Employment Index fell to 47.4, indicating contraction in service-sector employment.⁶

The resulting pattern is unusual:

| Output, demand and orders remain positive, while employment is close to stagnation.

Companies may be meeting demand through productivity gains, automation, AI investment and tighter cost control rather than through headcount growth. This creates a cycle in which business fundamentals can remain resilient even as the labor market becomes increasingly fragile.

6. Productivity Helps Explain the Divergence

Second-quarter productivity rose 1.4% at an annualized rate and 2.2% year over year. Unit labor costs increased only 1.3% annualized and 1.4% year over year.⁷

Productivity Indicator	Latest Reading
Productivity, annualized	+1.4%
Productivity, YoY	+2.2%
Unit labor costs, annualized	+1.3%
Unit labor costs, YoY	+1.4%

The combination is favorable for corporate margins: output can expand without a comparable increase in hours worked or labor expense. It also explains why weak employment does not yet imply equally weak corporate activity.

⁴BEA: GDP Advance Estimate, Second Quarter 2026

⁵Reuters: U.S. manufacturing activity hits a four-year high

⁶Reuters: U.S. services activity stays strong in July

⁷BLS: Productivity and Costs, Second Quarter 2026

Employment is weakening faster than business fundamentals.

This dynamic links the macroeconomic outlook to the AI capital-expenditure cycle. If technology investment raises output per worker, GDP and earnings can remain stronger than traditional employment relationships would imply.

7. Inflation Is the Core Policy Constraint

June inflation remained well above the Federal Reserve's objective.

Inflation Indicator	Latest Reading
Headline PCE, YoY	+3.7%
Core PCE, YoY	+3.3%
Core PCE, MoM	+0.1%
Services Prices Paid Index	70.3

Core PCE above 3% remains an inflation problem even though the latest monthly reading improved.⁸ The Services Prices Paid Index at 70.3 also indicates persistent input-cost pressure.⁹

The Federal Reserve is therefore confronting an uncomfortable combination:

Employment is weakening rapidly, but inflation is not yet low.

If employment weakens while inflation falls, the soft-landing path becomes easier. If employment weakens while inflation stays above 3%, the economy moves closer to a stagflationary slowdown and the risk of policy error rises.

8. Consumer Resilience and Housing Weakness

8.1 Consumer Spending

Personal income rose 0.2% in June and real personal consumption expenditures increased 0.4%. The household saving rate, however, was only 2.7%.¹⁰

Consumption has not yet followed employment lower, but the low saving rate leaves households with a limited buffer. Several months of payroll readings near zero or below zero could quickly weaken income growth and spending.

The consumer assessment is:

Still resilient, but increasingly vulnerable.

8.2 Housing

New-home sales were 628,000 in June, down 5.6% year over year. Inventory reached 485,000 units, equivalent to 9.3 months of supply, while the median price declined 2.7% year over year.¹¹

Housing continues to demonstrate that high rates are restraining traditional rate-sensitive sectors. This weakness contrasts sharply with the expansion in AI-related investment, manufacturing and productivity.

9. The Federal Reserve Has No Clean Response

At its July 29 meeting, the Federal Reserve maintained the federal funds rate at 3.50–3.75%. Three officials supported a 25-basis-point increase.¹²

⁸BEA: Personal Income and Outlays, June 2026

⁹Reuters: U.S. services activity stays strong in July

¹⁰BEA: Personal Income and Outlays, June 2026

¹¹U.S. Census Bureau: New Residential Sales

¹²Federal Reserve: July 29, 2026 FOMC Statement

Before the employment report, the policy debate focused on resilient activity and persistent inflation, which increased the probability of another rate increase. The July payroll decline, large revisions and lower participation rate significantly weaken that argument. Market pricing for a September increase fell after the report, while Treasury yields and the dollar declined.¹³

The near-term policy ranking is now:

| Hold is more likely than hike; a cut is still constrained by core inflation.

The Federal Reserve's choices all carry risk:

Policy Choice	Principal Risk
Raise rates	Accelerates labor-market deterioration
Cut aggressively	Reignites inflation and weakens credibility
Hold	Keeps real rates restrictive for rate-sensitive sectors

10. Credit Still Rejects an Immediate Recession Call

The U.S. high-yield option-adjusted spread remains near 280–300 basis points.¹⁴

High-Yield OAS	Interpretation
Below 300 bps	Very strong
300–450 bps	Normal
450–600 bps	Stress
600–800 bps	Recessionary
Above 800 bps	Crisis

Credit markets are not pricing an imminent recession or systemic crisis. This is a critical counterweight to the weak payroll report.

The outlook would deteriorate rapidly if weak payrolls were accompanied by high-yield spreads moving toward 400–450 basis points, rising initial claims and higher layoffs.

11. Ten-Indicator Economic Dashboard

Dimension	Current Reading	Signal
1. Growth	GDP +1.5%; private domestic demand +3.9%	Caution
2. Employment and income	Payroll -23K; three-month average +20K	Negative
3. Inflation	Core PCE +3.3%	Restrictive
4. Consumer	Real spending resilient; saving rate 2.7%	Caution
5. Corporate and productivity	Productivity +2.2% YoY	Positive
6. Manufacturing	PMI 55.6	Positive
7. Services	PMI 54.1; employment 47.4	Mixed
8. Housing	Weak sales; 9.3 months of supply	Negative
9. Monetary and financial conditions	Fed funds 3.50–3.75%; high real rates	Restrictive
10. Credit and systemic risk	High-yield spread near 300 bps	Positive

The economy is unusually divided. Corporate activity, AI investment, manufacturing and productivity remain constructive, while employment and housing are weak. Inflation remains too high to allow an uncomplicated policy response.

¹³Reuters: Soft July jobs report changes the rate outlook

¹⁴FRED: U.S. High Yield Option-Adjusted Spread

12. Economic-Cycle Positioning

The current cycle sequence is best represented as:

Goldilocks / Late-cycle expansion / Late-cycle slowdown / Stagflationary slowdown / Recession

The economy has moved one step closer to recession, but it has not crossed the threshold. A more precise description is:

A productivity-led late-cycle expansion with a rapidly weakening labor market and persistent inflation.

“Slowflation risk” is a useful shorthand. The economy is not stagnant, but the combination of low hiring and above-target inflation is moving in that direction.

13. Comparing the 2024 Growth Scare with the 2026 Policy Dilemma

The comparison with August 2024 helps isolate the present policy problem. The key issue is not simply which period had weaker-looking data; it is which period was more difficult for monetary policy to address.

Indicator	August 2024	August 2026	More Concerning
Nonfarm payroll	+114K	-23K	2026
Three-month average payroll	+170K/month	Approximately +20K/month	2026
Unemployment	4.3%; +0.2 pp in one month	4.1%	2024 shock
Participation	62.7%	61.4%	2026
Initial claims	249K	Near 200K recently	2024
JOLTS / layoffs	Still low	1.8 million; still low	Similar
GDP	+2.8%	+1.5%	2026
Manufacturing PMI	46.8	55.6	2024
Services PMI	51.4	54.1	2024
Core PCE, YoY	2.6%	3.3%	2026
Federal funds rate	5.25–5.50%	3.50–3.75%	Different constraints
Credit stress	Very low	Still very low	Similar

13.1 Employment Momentum Is More Fragile in 2026

In 2024, payroll growth for May through July was approximately +216K, +179K and +114K, producing a three-month average near +170K. The market was alarmed by the sudden rise in unemployment to 4.3% and initial claims reaching 249K, but hiring itself remained healthy.¹⁵

In 2026, the revised three-month average is only about +20K. The current structure is therefore more fragile even though unemployment and layoffs have not yet surged.

13.2 Business Activity Is Stronger in 2026

The July 2024 Manufacturing PMI was 46.8, with new orders, production and employment in contraction.¹⁶ The Services PMI was only 51.4.¹⁷

In 2026, Manufacturing PMI is 55.6 and Services PMI is 54.1. The economy is producing a nontraditional divergence: business activity and orders are expanding, but firms are reluctant to add workers.

¹⁵ BLS: Employment Situation, July 2024

¹⁶ ISM: Manufacturing PMI, July 2024

¹⁷ ISM: Services PMI, July 2024

13.3 Inflation Changes the Policy Equation

Core PCE was 2.6% in June 2024 and continued to trend downward.¹⁸ With the federal funds rate at 5.25–5.50%, the Federal Reserve had both the inflation justification and policy space to lower rates if growth weakened.¹⁹

In June 2026, core PCE was 3.3% and the policy rate was already down to 3.50–3.75%. Employment needs support, but persistent inflation prevents an aggressive response.

The distinction is central:

2024 was a growth scare with an available policy solution. 2026 is a labor-market slowdown with an inflation constraint.

13.4 Why the Economy Is Still Not in Recession

Manufacturing and services remain above 50, new orders are strong, layoffs are contained, high-yield spreads remain near 300 basis points, and private domestic demand is growing 3.9%. These readings do not support a broad contraction.

The current condition is better described as a labor-market slowdown inside an otherwise expanding economy, with a meaningful stagflation tail risk.

14. Six-to-Twelve-Month Scenario Outlook

The July employment report changes the probability distribution. Hard-landing risk rises because the labor market was weaker than previously understood, while the probability of an extended no-landing outcome declines.

Six-to-Twelve-Month Scenario	Previous Probability	Updated Probability
Low-growth soft landing	45%	45%
Sticky inflation / no landing	35%	25%
Hard landing / recession	15%	25%
Credit crisis	5%	5%

14.1 Low-Growth Soft Landing

If inflation continues to decline, payroll growth stabilizes between zero and 75,000, claims remain contained and business surveys stay above 50, the current weakness can resolve into a low-growth soft landing.

14.2 Stagflationary Slowdown

If payrolls remain negative, claims move toward 230,000–250,000, service employment stays below 50 and core inflation remains above 3%, the economy will enter a more dangerous stagflationary slowdown.

14.3 Recession

A recession would require a broader chain of deterioration:

Payrolls fall, layoffs and claims rise, consumption weakens, services fall below 50 and high-yield OAS rises above 400–450 bps.

That chain has not yet formed.

15. What to Watch Next

¹⁸BEA: Personal Income and Outlays, June 2024

¹⁹Federal Reserve: July 31, 2024 FOMC Statement

15.1 CPI and Core CPI

The August 12 inflation report is the most important near-term release.

- **Employment weakens + inflation falls:** the soft-landing path improves.
- **Employment weakens + inflation rises:** stagflation risk increases.

15.2 Initial and Continuing Claims

The focus should be on whether claims establish a sustained upward trend. A transition from low hiring to high firing would change the character of the cycle.

15.3 August Payrolls and Unemployment

With the three-month payroll average already near +20K, another zero or negative reading would justify a further increase in recession probability.

15.4 High-Yield Credit Spreads

High-yield OAS near 300 basis points indicates that markets do not expect recession. A move toward 400–450 basis points alongside weaker employment would provide much stronger confirmation of a downturn.

16. Final Assessment

The U.S. economy is still expanding and does not yet show the broad contraction associated with recession. Private demand, manufacturing, services, productivity and credit conditions remain resilient.

The labor market, however, has weakened materially. Three-month average payroll growth is near 20,000, participation has declined and hiring momentum is close to stall speed. Core inflation above 3% prevents the Federal Reserve from responding to this weakness without risking renewed inflation pressure.

The five-step framework can be summarized as follows:

Dimension	Final Assessment
Growth	Still expanding
Employment	Clearly deteriorating
Inflation	Still elevated
Financial conditions	Restrictive
Credit	Stable

The base case remains a low-growth soft landing, but the margin of safety has narrowed. The principal risk is no longer simply that the economy runs too hot. It is that employment continues to weaken while inflation remains too high for the Federal Reserve to provide a clean policy response.

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